UK: Budget delays key spending decisions

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Burnham's "Blueprint for Britain" delayed until next year

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As expected, Chancellor John Healey has presented a budget that delayed decisions on defense, welfare, and public spending for next year's government-wide review covering 2028-2029 to 2030-2031.
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The budget was an attempt to try to rebuild Labour's bridges with business, but markets will worry that Healey did not provide clarity on key spending categories ahead of next year's government-wide review.
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Eurasia Group continues to assign a 35% chance of a 2027 election.

Healey has delayed key spending decisions, as Eurasia Group expected. The budget includes 98 small-scale measures, including limited help for people during the cost-of-living crisis. The first budget of Prime Minister Andy Burnham's government allocates £2.6 billion to lower energy bills by £100 for 20 million households in the lowest council tax bands, based on property values. The government will also save households another £50 by extending the removal of VAT on all domestic electricity bills. However, the measures will not compensate for a 27% forecast rise in household energy charges in January to an average of £2,192 a year.

Healey was constrained by what he called "global economic storms" after the Iran war pushed up the government's interest payments on debt by £14 billion this year. Although the economy has proved more resilient than expected when the conflict began, the Office for Budget Responsibility downgraded its forecast of 1.6% growth in 2027 to 1%. It also forecast 3.1% inflation next year, up from 2%—increasing the pressure on the Bank of England to raise interest rates.

The chancellor, determined not to unsettle the bond markets, repeatedly stressed his commitment to "fiscal responsibility." But he reduced his headroom against the government's fiscal rule to balance revenue and spending by 2029-2030 from £23.6 billion in March to £15 billion. Markets had little reaction, with ten-year gilt yields unchanged and the pound stable against both the dollar and euro, suggesting that the headroom reduction was expected and seen as consistent with fiscal stability.

The budget was an attempt to rebuild Labour's bridges with business. Business is still scarred by his predecessor Rachel Reeves's £25 billion national insurance hike. Healey announced lower tax rates for High Street businesses and wooed entrepreneurs with a new "founders' relief" on capital gains tax. The 3% increase on the banks' 3% corporation tax surcharge will be temporary, lasting only 15 months. UK bank stocks rose 2%, outperforming the rest of the market, as the increase in the bank levy was smaller and shorter lasting than expected.

However, there will be concerns in markets that Healey did not settle welfare and defense budgets or set the total level of public spending for next year's government-wide review covering 2028-2029 to 2030-2031. "He is buying time; this is a holding operation," one Labour insider admitted. Healey allies argued that it made sense to wait because an end to the Iran war would improve the fiscal picture and ease the squeeze on spending. However, some ministers worry privately that US President Donald Trump will order a new round of bombing after the US midterm elections.

Healey said the government would bring down the welfare bill "in a Labour way" without "crude cuts." But the government's decision to delay until next month former Health Secretary Alan Milburn's review of the one million 16–24-year-olds not in education, employment or training meant Healey did not have to fund upfront investment in opportunities for them in this budget. "We have unnecessarily put back welfare reform by a year," one Labour MP admitted.

The chancellor pledged £5 billion of investment in defense projects over four years through the state-funded National Wealth Fund and British Business Bank, whose spending does not count toward the fiscal rules. He promised a "target date" to increase defense spending from 2.6% to 3% of GDP by 2030, but the details will have to wait until the spending review. Whitehall officials expect across-the-board "salami slicing" by other departments to fund the £10 billion a year needed. Healey has privately warned cabinet colleagues they will need to cut spending in some areas to raise it in others, and there will be "no Treasury top-ups."

Eurasia Group continues to assign a 35% chance of a 2027 election. The shelving of key spending decisions will fuel speculation that Burnham is keeping open the option of an early general election. Burnham, however, insists the next election will not take place until the scheduled 2029 date and today ruled out a contest in the next 12 months. A growing number of Labour MPs suspect Burnham is eyeing next year or early 2028 because his vibes-based style of government will run out of road by 2029. A May 2027 election would come before a difficult spending review. Significantly, a freeze on fuel duty and the VAT exemption on electricity bills will remain in place until next July.

Some of Burnham's soft-left allies believe a cautious budget did not align with his promise of the biggest economic and political shake-up for 40 years. However, ministers insist today's package was only the first phase of Burnham's Blueprint for Britain, with more to come in a 10-year plan before Christmas, followed by the spending review.

What was described as a "no harm budget" for the markets was also designed not to harm Burnham's honeymoon as prime minister. Labour has opened a six-point opinion poll lead over Reform UK and the Conservatives. An unpopular budget would have jeopardized that, reducing the prospect of an early election.

Happy to discuss,

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